BHP Group Limited (BHP.AX) — Equity Research Note

Sector: Basic Materials | Industry: Diversified Mining (Iron Ore, Copper, Coal, Potash) | Date: 15 June 2026 | Analyst: Equity Research (Student Portfolio Project)

RECOMMENDATION: SELL

Current Price: A$57.00 | DCF Fair Value: A$41.27 (-27.6%) | Comps Implied: A$32.47

Company Overview

BHP Group is a leading global resources company, with operations spanning iron ore, copper, metallurgical and energy coal, and potash. Headquartered in Melbourne, Australia, BHP is the largest company on the ASX by market capitalisation.

Key Financials & Valuation Summary

Key Financials (USDm)	FY24A	FY25A	FY26E	FY30E
Revenue	55,658	51,262	52,287	58,280
EBITDA	29,016	25,978	27,189	29,140
EBITDA Margin	52.1%	50.7%	52.0%	50.0%
Net Income	9,601	11,143	13,948	14,798
Free Cash Flow	11,392	8,898	11,334	11,884
Net Debt	9,120	12,924	13,000	13,000

Valuation Summary	Value
WACC	9.34%
Terminal Growth Rate	2.5%
Enterprise Value (USDm)	158,429
Equity Value (USDm)	145,505
DCF Fair Value (AUD)	**A$41.27**
EV/EBITDA Comps (AUD)	A$32.00
P/E Comps (AUD)	A$32.93
BHP EV/EBITDA (current)	8.2x
Peer Avg EV/EBITDA	4.8x

Investment Thesis

DCF implies -27.6% vs current price; comps (avg of EV/EBITDA & P/E) imply -43.0%. Blended view: -35.3%. BHP trades at a premium to peers (8.2x EV/EBITDA vs peer avg 4.8x), reflecting its scale, low-cost iron ore position and copper growth optionality - but this premium leaves limited margin of safety at current levels.

Bull Case	Bear Case
World's lowest-cost major iron ore producer, providing earnings resilience through commodity cycles. Growing copper exposure (~45% of EBITDA) positions BHP toward structural decarbonisation/electrification demand. Strong balance sheet (net debt well within target range) supports continued shareholder returns.	Trades at a meaningful premium to peer multiples and DCF fair value, leaving limited margin of safety if commodity prices soften. Elevated capex (Jansen potash project) weighs on near-term free cash flow and dividend coverage. Earnings remain highly sensitive to iron ore and copper price swings outside management's control.

DCF Sensitivity — Implied Share Price (AUD)

WACC \ Terminal g	2.0%	2.5%	3.0%
8.34%	**A$45.62**	**A$48.92**	**A$52.84**
8.84%	**A$42.02**	**A$44.79**	**A$48.04**
9.34%	**A$38.92**	**A$41.27**	**A$43.99**
9.84%	**A$36.22**	**A$38.23**	**A$40.53**
10.34%	**A$33.83**	**A$35.57**	**A$37.55**

Highlighted cell = base case assumptions. Fair value is most sensitive to the WACC assumption; a 1pp WACC decrease lifts implied value materially due to the long-duration terminal value component.

Methodology Summary

3-Statement Model: FY24A-FY25A actuals from BHP's FY2025 Annual Report, projected FY26E-FY30E using driver-based assumptions (revenue growth, EBITDA margin, D&A and capex as % of revenue). **DCF:** 5-year explicit FCF forecast discounted at WACC (CAPM-derived cost of equity + after-tax cost of debt), plus a Gordon Growth terminal value. **Comps:** EV/EBITDA and P/E multiples from a 5-company diversified mining peer set applied to BHP's FY25 EBITDA and EPS. Full assumptions, formulas and source citations are documented in the accompanying Excel model and GitHub README.
